

**M/S VIRTUAL GALAXY INFOTECH  
PRIVATE LIMITED**

**NAGPUR**

**STATUTORY AUDIT REPORT**

FOR THE FINANCIAL YEAR 2022-23  
FOR THE ASSESSMENT YEAR 2023-24

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**Audited By:**  
**RKAS & CO.**  
CHARTERED ACCOUNTANTS

## INDEPENDENT AUDITOR'S REPORT

To,

**The Members of Virtual Galaxy Infotech Private Limited**

### **Report on the Audit of the Financial Statements**

#### **Opinion**

We have audited the financial statements of **Virtual Galaxy Infotech Private Limited** ("the Company"), which comprise the balance sheet as at 31st March 2023, and the statement of Profit and Loss, and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as 'the Financial Statements')

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2023 and its cash flows for the year ended on that date.

#### **Basis for Opinion**

We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the Financial Statements.





### **Key Audit Matters**

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

### **Information Other than the Financial Statements and Auditor's Report Thereon**

The Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in the Board's Report including Annexures to Board's Report, Business Responsibility Report but does not include the Financial Statements and our auditor's report thereon.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

### **Management's Responsibility for the Financial Statements**

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these Financial Statements that give a true and fair view of the financial position, financial performance, and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the





financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

### **Auditor's Responsibilities for the Audit of the Financial Statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.





- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledge user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in planning the scope of our audit work and in evaluating the results of or works and to evaluate the effect of the any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.





## Report on Other Legal and Regulatory Requirements

- 1 As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the "Annexure A", a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
- 2 As required by Section 143(3) of the Act, we report that:
  - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
  - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
  - (c) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account
  - (d) In our opinion, the aforesaid Financial Statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
  - (e) On the basis of the written representations received from the directors as on 31st March, 2023 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2023 from being appointed as a director in terms of Section 164 (2) of the Act.
  - (f) Since the Company's turnover as per latest audited financial statements is more than Rs.50 Crores but and its borrowings from banks and financial institutions at any time during the year is less than Rs.25 Crores, the Company is exempted from getting an audit opinion with respect to the adequacy of the internal financial controls over financial reporting of the company and the operating effectiveness of such controls vide notification dated June 13, 2017; and



- g) With respect to the other matters to be included in the Auditors Report in accordance with the requirement of section 197(16) of the Act, as amended:

In our opinion and to the best of our information and according to the explanations given to us, the company has paid remuneration to its director.

- (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

i. The Company did not have any pending litigation on its financial position in its financial statements.

ii. The Company did not have any long term contracts including derivative contracts for which there were any material foreseeable losses.

iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company

iv. a) the management has represented that, to the best of its knowledge and belief, as disclosed in note 59 to the financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or securities premium or any other sources or kind of funds) by the Company to or in any person(s) or entity(ies), including foreign entities ('the intermediaries'), with the understanding, whether recorded in writing or otherwise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ('the Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf the Ultimate Beneficiaries;

b) the management has represented that, to the best of its knowledge and belief, as disclosed in note 59 to the financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ('the Funding





parties'), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding party ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

c) Based on such audit procedures performed as considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the management representations under sub-clauses (a) and (b) above contain any material misstatement.

v) The Company has neither declared nor paid dividend during the year.

vi) proviso to rule 3(1) of the Companies (accounts) rules, 2014 requires all companies which use accounting software for maintaining their books of account, to use such an accounting software which has a feature of audit trail, with effect from the financial year beginning on 1 April 2023 and accordingly, reporting under rule 11(g) of Companies (audit and auditors) rules, 2014 (as amended) is not applicable for the current financial year.

FOR AND ON BEHELF OF  
FOR R K A S & CO.  
CHARTERED ACCOUNTANTS  
Firm Registration No.135727W



Nagpur

Date: 20/09/2023

A handwritten signature in blue ink, appearing to be 'A. A. Shahu', written over a horizontal line.

CA. A. A. SHAHU

PARTNER

M. NO. : 150960

UDIN: 150960BGSOQU7531



## **ANNEXTURE 'A' TO THE INDEPENDENT AUDITOR'S REPORT**

The Annexure referred to in the Independent Auditors' Report to the Members of the Company on the Financial Statements for the year ended March 31, 2023, and on the basis of information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we report that:

1. In respect of the Company's fixed assets:
  - a) A )The Company has maintained proper records, showing full particulars, including quantitative details and situation of the fixed Assets.
  - B) The company is maintaining proper records showing full particulars of intangible assets.
  - b) The Company has a program of verification to cover all the items of fixed assets in a phased manner which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the program, certain fixed assets were physically verified by the Management during the year. According to the information and explanations given to us, no material discrepancies were noticed on such verification.
  - c) According to the information and explanations given to us, the records examined by us and based on the examination we report that there are no immovable properties in the name of company, hence this clause is not applicable.
  - d) The Company has not revalued its Property, Plant and Equipment or intangible assets during the year. Therefore, the reporting as per paragraph 3(I) (d) of the order is not required.
  - e) No proceedings have been initiated or are pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and Rules made thereunder. Accordingly, reporting under clause 3(i)(e) of the Order is not applicable to the Company.



2. a) We are informed that inventories have been physically verified by the Management during the year and also at the end of the year. In our opinion, the frequency of verification is reasonable. In our opinion and according to the explanations given to us, the procedures of physical verification of inventories followed by the Management are reasonable and adequate in relation to the size of the Company and the nature of its business.
- b) In our opinion and according to the information and explanations given to us, the Company is maintaining proper records of inventories. The discrepancies noticed on verification between physical stocks and book records were not more than 10% in each class and have been properly dealt with in the books of accounts.
- c) The Company has been sanctioned working capital limits of Rs. 4 crore, from Bank of Maharashtra on the basis of the Security of the current assets of the Company. Since the sanctioned limit is not in excess of 5 crores therefore reporting under para 3(ii)(b) of the order is not applicable.
3. During the year, the Company has not made investments, provided any guarantee and security and granted any loans and advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties hence clause 3(iii)a to 3(iii)f is not applicable to the company.
4. In our opinion and according to the Information and explanations given to us, the Company has complied with the provision of Section 185 and 186 of the Act, with respect to loans and investments made and securities offered as Lien.
5. In our opinion, and according to the information and explanations given to us, the Company has not accepted any deposits or there is no amount which has been considered as deemed deposit within the meaning of sections 73 to 76 of the Act and the Companies (Acceptance of Deposits) Rules, 2014 (as amended). Accordingly, reporting under clause 3(v) of the Order is not applicable to the Company.





6. The maintenance of cost records has not been specified by the Central Government under sub section (1) of section 148 of the Companies Act, 2013 for the business activities carried out by the Company. Hence, reporting under clause(vi) of the order is not applicable to the company.
7. According to the records, information and explanations, provided to us, the Company is generally regular in depositing with appropriate authorities undisputed amounts including ESIC if any, P.F., T.D.S., P.T. and GST and other statutory dues applicable to it and no undisputed amounts payable were outstanding as on 31<sup>st</sup> March 2023 for a period of more than six months from the date they become payable except PT, TDS and P F.
8. According to the information and explanations given to us and the records of the Company examined by us, as at March 31, 2023, there were no such transactions relating to previously unrecorded income that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961).
9. (a) The Company has not default in repayment of loans or other borrowings or in the payment of interest thereon to any lender.
- (b) The Company has not been declared willful defaulter by any bank or financial institution or government or any government authority.
- (c) In our opinion and according to the information and explanations given to us, money raised by way of term loans were applied for the purposes for which these were obtained.
- (d) Accordingly, to the information and explanation given to us and the procedures performed by us, and on an overall examination of the financial statements of the Company, we report that no funds raised on short term basis have been used for long term purposes by the company.



(e) According to the information and explanations given to us and on an overall examination of the financial statements of the Company, the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiary. Accordingly, reporting under clause 3(ix)(e) of the Order is not applicable to the Company.

(f) According to the information and explanations given to us, the Company has not raised any loans during the year on the pledge of securities held in its subsidiary. Accordingly, reporting under clause 3(ix)(f) of the Order is not applicable to the Company.

10. (a) The Company did not raise moneys by way of initial public offer or further public offer (including debt instruments) during the year and hence reporting under clause 3(x)(a) of the Order is not applicable.

(b) During the year, the Company has not made any preferential allotment or private placement of shares or convertible debentures (fully or partly or optionally) and hence reporting under clause 3(x)(b) of the Order is not applicable.

11. a) To the best of our knowledge and according to the information and explanations given to us, no fraud by the Company or on the Company has been noticed or reported during the period covered by our audit.

b) No report under Section 143(12) of the Act has been filed with the Central Government for the period covered by our audit.

c) According to the information and explanations given to us including the representation made to us by the Management of the Company, there are no whistle-blower-complaints received by the Company during the year.

12. The Company is not a Nidhi Company and the Nidhi Rules, 2014 are not applicable to it. Accordingly, reporting under clause 3(xii) of the Order is not applicable to the Company.





13. In our opinion and according to the information and explanations given to us, all transactions entered into by the Company with related parties are in compliance with Sections 177 and 188 of the Act, where applicable. Further, details of such related party transactions have been disclosed in the Standalone Financial Statements, as required under Indian Accounting Standard (Ind AS) 24, Related Party Disclosures specified in Companies (Indian Accounting Standards) Rules 2015 and prescribed under Section 133 of the Act.
14. a) In our opinion and based on our examination, the Company does not have an internal audit system and is not required to have an internal audit system as per the provisions of section 138 of the Companies Act 2013.
- b) Since the Company is not required to have the internal audit system hence the clause 3(xiv)(b) is not applicable to the company.
15. According to the information and explanation given to us, the Company has not entered into any non-cash transactions with its Directors or persons connected with them and accordingly, provisions of Section 192 of the Act are not applicable to the Company.
16. a) The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause 3(xvi)(a) & (b) of the Order is not applicable.
- (b) In our opinion, there is no core investment company within the Group (as defined in the Core Investment Companies (Reserve Bank) Directions, 2016) and accordingly reporting under clause 3(xvi)(c) & (d) of the Order is not applicable.
17. The Company has not incurred any cash loss in the current as well as the immediately preceding financial year.
18. There has been no resignation of the Statutory Auditors during the year. Accordingly, reporting under clause 3(xviii) of the Order is not applicable to the Company.



19. According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the Standalone Financial Statements, our knowledge of the plans of the Board of Directors and Management, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that Company is not capable of meeting its liabilities existing at the date of Balance Sheet as and when they fall due within a period of one year from the Balance Sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the Balance Sheet date, will get discharged by the Company as and when they fall due.
20. Since the provisions of section 135 of the Company Act, 2013 with regard to corporate social responsibility are not applicable to the company hence clause 3(xx) of the order is not applicable
21. The reporting under clause (xxi) is not applicable in respect of audit of standalone financial statements of the company. Accordingly no comment has been included in respect of said clause under this report.



Nagpur

Date:20/09/2023

FOR AND ON BEHELF OF  
R K A S & CO.  
CHARTERED ACCOUNTANTS  
Firm Registration No.135727W

A handwritten signature in blue ink, appearing to be "A. A. Shahu", written over a set of horizontal lines.

CA. A. A. SHAHU

PARTNER

M. NO. : 150960

UDIN:23150960BGSOQU7531



## **ANNEXTURE 'B' TO THE AUDITOR'S REPORT**

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of sub-section 143 of the Companies Act, 2013 is not applicable to the company; hence we have not audited internal financial control over financial reporting of Virtual Galaxy Infotech Private Limited.



# VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

BALANCE SHEET AS ON 31ST MARCH 2023

(Amt in '000)

| PARTICULARS                           | Note No. | 31-03-2023      | 31-03-2022      |
|---------------------------------------|----------|-----------------|-----------------|
| <b>I. EQUITY AND LIABILITIES :</b>    |          |                 |                 |
| <b>1 SHAREHOLDERS' FUNDS</b>          |          |                 |                 |
| Share Capital                         | 2.1      | 1,10,002        | 1,10,002        |
| Reserves and surplus                  | 2.2      | 1,65,104        | 1,29,965        |
| <b>Sub-total</b>                      |          |                 |                 |
| <b>2 Share Application Money</b>      |          |                 |                 |
| Pending Allotement                    | 2.3      | 0               | 0               |
| <b>3 NON-CURRENT LIABILITIES</b>      |          |                 |                 |
| Long-Term Liabilities                 | 2.4      | 1,26,541        | 64,810          |
| Other Long-Term Liabilities           | 2.5      | 2,68,872        | 2,16,097        |
| <b>4 CURRENT LIABILITIES</b>          |          |                 |                 |
| Short-term borrowings                 | 2.6      | 39,355          | 78,616          |
| Trade Payable                         | 2.7      | 90,901          | 29,259          |
| Other Current Liabilities             | 2.8      | 31,447          | 35,164          |
| Short-term Provisions                 | 2.9      | 39,344          | 29,035          |
| <b>Sub-total</b>                      |          | <b>2,01,047</b> | <b>1,72,074</b> |
| <b>TOTAL EQUITIES AND LIABILITIES</b> |          | <b>8,71,566</b> | <b>6,92,948</b> |
| <b>II. ASSETS:</b>                    |          |                 |                 |
| <b>1 NON-CURRENT ASSETS</b>           |          |                 |                 |
| Fixed assets                          |          |                 |                 |
| Tangible Assets & Intangible Assets   | 2.10     | 4,71,821        | 4,40,057        |
| <b>2 CURRENT ASSETS</b>               |          |                 |                 |
| Current Investments                   | 2.11     | 28,677          | 22,416          |
| Inventories                           | 2.12     | 740             | 456             |
| Trade Receivables                     | 2.13     | 2,32,778        | 1,36,043        |
| Cash and cash equivalents             | 2.14     | 3,927           | 2,881           |
| Short-term Loans and Advances         | 2.15     | 95,334          | 53,518          |
| Other Current Assets                  | 2.16     | 38,289          | 37,577          |
| <b>Sub-total</b>                      |          | <b>3,99,745</b> | <b>2,52,891</b> |
| <b>TOTAL ASSETS</b>                   |          | <b>8,71,566</b> | <b>6,92,948</b> |

Notes on financial statements (Refer note-2)

FOR AND ON BEHALF OF VIRTUAL GALAXY INFOTECH PVT. LTD.

  
DIRECTOR  
A. N. Shende

  
DIRECTOR  
S. P. Pande

  
COMPANY SECRETARY  
A. V. Padhye

AS PER OUR REPORT OF EVEN DATE ATTACHED.

Nagpur  
Dated : 20/09/2023



FOR AND ON BEHALF OF  
RKAS & CO.  
Chartered Accountants  
Firm Registration No.135727W

  
CA. A. A. SHAHU  
PARTNER  
M.NO.150960  
UDIN: 23150960BGSOQU7531



# VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

## STATEMENT OF PROFIT AND LOSS ACCOUNT FOR THE PERIOD 01/04/2022 TO 31/03/2023

(Amt.in '000)

| PARTICULARS                                                                   | Note No. | 31-03-2023 | 31-03-2022 |
|-------------------------------------------------------------------------------|----------|------------|------------|
| I. Revenue from operations                                                    | 2.17     | 5,84,840   | 4,26,234   |
| II. Other income                                                              | 2.18     | 737        | 1,098      |
| III. Total Revenue ( I + II )                                                 |          | 5,85,577   | 4,27,332   |
| IV. <b>LESS : EXPENDITURE</b>                                                 |          |            |            |
| Purchases of Materials                                                        |          | 3,22,099   | 2,27,183   |
| Changes in inventories of stock-in-trade                                      | 2.19     | -285       | -1         |
| Employee benefit expenses                                                     | 2.20     | 97,702     | 65,249     |
| Finance costs                                                                 | 2.21     | 26,713     | 26,068     |
| Depreciation and amortization expenses                                        | 2.10     | 56,448     | 45,572     |
| Other Expenses                                                                | 2.22     | 34,119     | 32,103     |
| Total Expenses                                                                |          | 5,36,796   | 3,96,174   |
| V. Profit before exceptional and extraordinary items and tax ( III - IV )     |          | 48,781     | 31,158     |
| VI. Exceptional items                                                         |          | 0          | 0          |
| VII. Profit before extraordinary items and tax ( V - VI )                     |          | 48,781     | 31,158     |
| VIII. Extraordinary items                                                     |          | 0          | 0          |
| IX. Profit before tax ( VII - VIII )                                          |          | 48,781     | 31,158     |
| X. Tax expense :<br>Current tax                                               |          | 13,642     | 8,670      |
| XI. Profit ( Loss ) for the period from continuing operations ( IX - X )      |          | 35,139     | 22,488     |
| XII. Profit / ( loss ) from discontinuing operations                          |          | 0          | 0          |
| XIII. Tax expense of discontinuing item                                       |          | 0          | 0          |
| XIV. Profit / (loss) from Discontinuing operations (after tax) ( XII - XIII ) |          | 0          | 0          |
| XV. Profit / (loss) for the period ( XI + XIV )                               |          | 35,139     | 22,488     |
| XVI. Earning per equity share :                                               | 2.23     | 3          | 2          |

FOR AND ON BEHALF OF VIRTUAL GALAXY INFOTECH PVT. LTD.

  
DIRECTOR  
A. N. Shende

  
DIRECTOR  
S. P. Pande

  
COMPANY SECRETARY  
A. V. Padhye

AS PER OUR REPORT OF EVEN DATE ATTACHED.



Nagpur  
Dated : 20/09/2023

FOR AND ON BEHALF OF  
R K A S & CO.  
Chartered Accountants  
Firm Registration No.135727W

  
A. A. SHAHU  
PARTNER  
M.NO.150960  
UDIN: 23150960BGSOQU7531



# VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

## CASH FLOW STATEMENT

(Amt.in '000)

| S.No. | Particulars                                                                  | Note No. | 31-03-2023      | 31-03-2022     |
|-------|------------------------------------------------------------------------------|----------|-----------------|----------------|
|       | <b>CASH FLOW FROM OPERATING ACTIVITIES:</b>                                  |          |                 |                |
| 1     | <b>Net Profit before tax as per statement of Profit and Loss Add/(less):</b> |          | <b>48,781</b>   | <b>31,158</b>  |
|       | Depreciation, amortisation and impairment                                    | 2.10     | 56,448          | 45,572         |
|       | Interest Income                                                              | 2.18     | -440            | -683           |
|       | Dividend Income                                                              | 2.18     | 0               | 0              |
| 2     | <b>Operating profit before changes in working capital</b>                    |          | <b>1,04,789</b> | <b>76,047</b>  |
|       | (Increase)/Decrease in trade receivables                                     | 2.13     | -96,735         | -19,395        |
|       | (Increase)/Decrease in Inventories                                           | 2.12     | -285            | -1             |
|       | (Increase)/Decrease in loans and advances                                    | 2.15     | -41,816         | -4,796         |
|       | (Increase)/Decrease in Other current Assets                                  | 2.16     | -712            | 2,106          |
|       | (Increase)/Decrease in other non-current Assets                              | 2.11     | -6,261          | 12,575         |
|       | Increase/(Decrease) in Trade payables                                        | 2.7      | 61,642          | 1,498          |
|       | Increase/(Decrease) in provisions                                            | 2.9      | 10,309          | 9,944          |
|       | Increase/ (Decrease) in other current Liabilities                            | 2.8      | -3,717          | -11,013        |
|       | Increase/(Decrease) in long term liabilities                                 | 2.4      | 61,731          | -11,390        |
|       | Increase/(Decrease) in other long term liabilities                           | 2.5      | 52,775          | -31,545        |
|       | Increase/(Decrease) in Short term borrowings                                 | 2.6      | -39,261         | 15,574         |
| 3     | <b>Cash Generated from operations</b>                                        |          | <b>1,02,459</b> | <b>39,604</b>  |
|       | Taxes paid                                                                   |          | 13,642          | 8,670          |
| 4     | <b>Net cash from operating activities (A)</b>                                |          | <b>88,817</b>   | <b>30,934</b>  |
| 5     | <b>Cash flow from investing activities</b>                                   |          |                 |                |
|       | Purchase of tangible & Intangible fixed assets(Net position)                 | 2.10     | -88,211         | -30,740        |
|       | Purchase of Long Term Investments                                            |          | 0               | 0              |
|       | sales of tangible fixed assets                                               | 2.10     | 0               | 0              |
|       | Sales of long-term investments                                               |          | 0               | 0              |
|       | interest and dividend received                                               | 2.18     | 440             | 683            |
| 6     | <b>Net cash from investing activities (B)</b>                                |          | <b>-87,771</b>  | <b>-30,057</b> |
| 7     | <b>Cash flows from financing activities</b>                                  |          |                 |                |
|       | Proceeds from Share application money                                        | 2.3      | 0               | 0              |
|       | Dividend paid                                                                |          | 0               | 0              |
| 8     | <b>Net cash from financing activities ( C )</b>                              |          | <b>0</b>        | <b>0</b>       |
| 9     | <b>Net increase /Decrease in cash and cash equivalents</b>                   |          |                 |                |
|       | ( A+ B+C)                                                                    |          | 1,046           | 877            |
|       | opening balance of cash and cash equivalents                                 |          | 2,881           | 2,004          |
|       | Closing Balance of cash and cash equivalents                                 |          | 3,927           | 2,881          |

FOR AND ON BEHALF OF VIRTUAL GALAXY INFOTECH PVT. LTD.



**DIRECTOR**  
A. N. Shende



**DIRECTOR**  
S. P. Pande



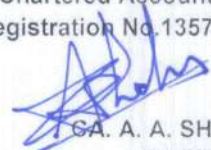
**COMPANY SECRETARY**  
A. V. Padhye

AS PER OUR REPORT OF EVEN DATE ATTACHED.

Nagpur  
Dated : 20/09/2023



FOR AND ON BEHALF OF  
RKAS & CO.  
Chartered Accountants  
Firm Registration No.135727W



**A. A. SHAHU**  
**PARTNER**  
M.NO.150960  
UDIN: 23150960BGSOQU7531



# VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

**Note 2: Notes on accounts as per revised schedule VI**

## **SHARE HOLDERS FUND**

The Company has only one class of shares, referred to as equity shares having a par value of Rs. 10/- per share. Each holder of equity shares is entitled to one vote per share. The right of the shareholders is governed by the Articles and Association and the Companies Act.

### **2.1 SHARE CAPITAL**

(Amt.in '000)

| A. PARTICULARS                                     | Number      | 31-03-2023   | 31-03-2022   |
|----------------------------------------------------|-------------|--------------|--------------|
| <b>AUTHORISED CAPITAL :</b>                        |             |              |              |
| 1,50,00,000 Equity Shares of Rs. 10/- each         | 1,50,00,000 | 15,00,00,000 | 15,00,00,000 |
| <b>ISSUED, SUBSCRIBED &amp; PAID UP CAPITAL :</b>  |             |              |              |
| 11000160 Equity Shares of Rs. 10/- each fully paid | 1,10,00,160 | 1,10,00,2    | 1,10,00,2    |
|                                                    |             | 1,10,00,2    | 1,10,00,2    |

### **B Details of Share Holding of more than 5% shares are set out below**

| Particulars          | 31-03-2023        |                    | 31-03-2022        |                    |
|----------------------|-------------------|--------------------|-------------------|--------------------|
| Name of shareholder  | No. of share held | % of share holding | No. of share held | % of share holding |
| 1. Avinash N. Shende | 51,00,000         | 46.36%             | 51,00,000         | 46.36%             |
| 2. Sachin P. Pande   | 51,00,000         | 46.36%             | 51,00,000         | 46.36%             |

### **C Share holding of promoters & % change during the year**

| PARTICULARS       | Figures as at the end of current reporting period |                   |          |
|-------------------|---------------------------------------------------|-------------------|----------|
|                   | No. of shares held                                | % of total shares | % Change |
| 1. Avinash Shende | 51,00,000                                         | 46.36%            | 0.0000   |
| 2. Sachin Pande   | 51,00,000                                         | 46.36%            | 0.0000   |

### **2.2 RESERVES AND SURPLUS**

| Particulars                                        | 31-03-2023      | 31-03-2022      |
|----------------------------------------------------|-----------------|-----------------|
| <u>Surplus in the statement of profit and loss</u> |                 |                 |
| Opening Balance                                    | 1,29,965        | 1,07,477        |
| Less: Bonus shares issued                          | 0               | 0               |
| Add: Profit for the year                           | 35,139          | 22,488          |
| Less: Transfer to reserve, if any                  | 0.00            | 0               |
| Closing Balance                                    | 1,65,104        | 1,29,965        |
| <b>Total</b>                                       | <b>1,65,104</b> | <b>1,29,965</b> |



# VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

## 2.3 SHARE APPLICATION MONEY PENDING ALLOTMENT

(Amt.in '000)

| PARTICULARS  | 31-03-2023 | 31-03-2022 |
|--------------|------------|------------|
|              |            |            |
| <b>Total</b> | <b>0</b>   | <b>0</b>   |

## 2.4 LONG TERM LIABILITIES

| Particulars                                 | 31-03-2023      | 31-03-2022    |
|---------------------------------------------|-----------------|---------------|
| <b>Long-Term Borrowings :</b>               |                 |               |
| Term Loan from Bank of Maharashtra          |                 |               |
| Account No.60192459909                      | 0               | 1,199         |
| Account No. 60357769879                     | 31,911          | 38,806        |
| Account No. 60359053729 ( GECL loan)        | 7,612           | 14,812        |
| Account No. 60356252763                     | 0               | 836           |
| Account No. 60408658799 ( Covid loan)       | 9,171           | 9,157         |
| Account No. 60418512453 WCTL                | 27,344          | 0             |
| Account No. 60425779756 For New Data Centre | 50,503          | 0             |
| <b>Total</b>                                | <b>1,26,541</b> | <b>64,810</b> |

## 2.5 OTHER LONG TERM LIABILITIES:

| Particulars                                        | 31-03-2023      | 31-03-2022      |
|----------------------------------------------------|-----------------|-----------------|
| <b>Unsecured Loan</b>                              |                 |                 |
| From NBFC                                          | 5,801           | 13,069          |
| From Director                                      | 7,800           | 7,800           |
| From Others                                        | 2,01,631        | 1,84,881        |
| Creditors for Fixed Assets of Software Development | 53,640          | 10,347          |
| <b>Total</b>                                       | <b>2,68,872</b> | <b>2,16,097</b> |

## 2.6 SHORT TERM BORROWINGS:

| Particulars                             | 31-03-2023    | 31-03-2022    |
|-----------------------------------------|---------------|---------------|
| Bank of Maharashtra Cash-credit Account | 39,355        | 72,102        |
| Axis Bank OD A/c                        | 0             | 6,514         |
| <b>Total</b>                            | <b>39,355</b> | <b>78,616</b> |

## 2.7 TRADE PAYABLES:

| Particulars                                | 31-03-2023    | 31-03-2022    |
|--------------------------------------------|---------------|---------------|
| <b>Trade Payable</b>                       |               |               |
| Due to micro, small and medium enterprises |               |               |
| Due to others                              | 90,901        | 29,259        |
| <b>Total</b>                               | <b>90,901</b> | <b>29,259</b> |





# VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

## 2.5 Annexure Other Long Term Liabilities

| Particulars                      | 31-03-2023      | 31-03-2022      |
|----------------------------------|-----------------|-----------------|
| <b>Unsecured Loan</b>            |                 |                 |
| Bajaj Finance Ltd.               | 1,124           | 2,147           |
| Edelweiss Finance                | 390             | 1,633           |
| HDFC Bank                        | 0               | 1,166           |
| Hero Fincor                      | 623             | 1,486           |
| ICICI Bank                       | 2,665           | 4,206           |
| Kotak Mahindra                   | 324             | 669             |
| Magma Finance                    | 449             | 1,410           |
| Tata Capital                     | 226             | 352             |
| Avinash Shende                   | 7,800           | 7,800           |
| Shilpa Shende                    | 1,400           | 1,400           |
| Sampada Pande                    | 1,400           | 1,400           |
| Shruti Deshpande                 | 500             | 500             |
| Farah Taraporewala               | 1,700           | 1,700           |
| Homi Taraporewala                | 600             | 600             |
| Yasmin Taraporwala               | 1,700           | 1,700           |
| S.D. Shangarpawar                | 1,745           | 1,745           |
| Axis Enterprises                 | 2,500           | 2,500           |
| Prithvi Dealers Pvt. Ltd.        | 13,500          | 13,500          |
| Yogiraj Deal Trader              | 7,800           | 7,800           |
| Shahwat Dilip Singh              | 450             | 450             |
| Sunita lthape                    | 250             | 250             |
| Infocraft Technologies Pvt. Ltd. | 34,300          | 34,300          |
| Shruti Vinmay Pvt. Ltd.          | 10,000          | 10,000          |
| Vijay Menon                      | 73,500          | 73,500          |
| Manghat Mani                     | 6,000           | 6,000           |
| SIDH Innoventure                 | 1,836           | 1,836           |
| Angha Patrikar                   | 17,750          | 2,000           |
| Yashvant Ambatkar                | 1,700           | 4,700           |
| Nairs EIS                        | 15,000          | 15,000          |
| Demble Investment                | 1,250           | 0               |
| Anil Jain ( HUF)                 | 1,500           | 0               |
| Shireen Electricals              | 1,250           | 0               |
| Shree Enterprises                | 4,000           | 4,000           |
| <b>Total</b>                     | <b>2,15,232</b> | <b>2,05,750</b> |



# VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

## 2.8 OTHER CURRENT LIABILITIES:

| Particulars           | 31-03-2023 | 31-03-2022 |
|-----------------------|------------|------------|
| Advance from Customer | 10,565     | 12924      |
| Salary Payable        | 20,740     | 22050      |
| Interest Payable      | 16         | 58         |
| Rent Payable          | 126        | 132        |
| Total                 | 31,447     | 35,164     |

## 2.9 SHORT TERM PROVISIONS:

| Particulars            | 31-03-2023 | 31-03-2022 |
|------------------------|------------|------------|
| Statutory remittance   | 25,672     | 20,335     |
| Audit Fees Provision   | 30         | 30         |
| Provision for Taxation | 13,642     | 8,670      |
| Total                  | 39,344     | 29,035     |





## FIXED ASSETS

| GROSS BLOCK                                                |                     |                             |                            |                           |                 |                 |                     |                    |                    | NET BLOCK               |                         |  |  |
|------------------------------------------------------------|---------------------|-----------------------------|----------------------------|---------------------------|-----------------|-----------------|---------------------|--------------------|--------------------|-------------------------|-------------------------|--|--|
| Particulars                                                | Cost As on 1/4/2022 | Additions before 30.09.2022 | Additions after 30.09.2022 | Deductions during the yr. | Total           | Dep. Amount     | During previous yr. | During current yr. | Total Depreciation | W.D.V. AS ON 31-03-2022 | W.D.V. AS ON 31-03-2023 |  |  |
| <b>Tangible Asset</b>                                      |                     |                             |                            |                           |                 |                 |                     |                    |                    |                         |                         |  |  |
| Plant & Machinery                                          | 4,279               | 0                           | 0                          | 0                         | 4,279           | 4,003           | 66                  | 53                 | 4,056              | 276                     | 223                     |  |  |
| Electrical Installation                                    | 577                 | 0                           | 0                          | 0                         | 577             | 562             | 6                   | 4                  | 566                | 15                      | 11                      |  |  |
| Furniture & Fixture                                        | 898                 | 0                           | 0                          | 0                         | 898             | 885             | 6                   | 4                  | 889                | 13                      | 9                       |  |  |
| Generator                                                  | 341                 | 0                           | 0                          | 0                         | 341             | 316             | 6                   | 5                  | 321                | 25                      | 20                      |  |  |
| Goddess Idol                                               | 46                  | 0                           | 0                          | 0                         | 46              | 0               | 0                   | 0                  | 0                  | 46                      | 46                      |  |  |
| Air Conditioner                                            | 219                 | 0                           | 0                          | 0                         | 219             | 160             | 19                  | 14                 | 174                | 59                      | 45                      |  |  |
| Projector                                                  | 61                  | 0                           | 0                          | 0                         | 61              | 55              | 2                   | 1                  | 56                 | 6                       | 5                       |  |  |
| Data Centre                                                | 1,45,241            | 0                           | 62,787                     | 0                         | 2,08,028        | 87,893          | 12,752              | 15,864             | 1,03,757           | 57,348                  | 1,04,271                |  |  |
| Office Interior                                            | 1,863               | 0                           | 0                          | 0                         | 1,863           | 1,746           | 44                  | 32                 | 1,778              | 117                     | 85                      |  |  |
| Water Cooler                                               | 32                  | 0                           | 0                          | 0                         | 32              | 32              | 2                   | 0                  | 32                 | 0                       | 0                       |  |  |
| BOT Asset (The Wardha District Central Co-op Bank)         | 3,223               | 0                           | 0                          | 0                         | 3,223           | 3,162           | 36                  | 22                 | 3,184              | 61                      | 39                      |  |  |
| BOT Asset (The Buldhana District Central Co-op Bank)       | 73,850              | 0                           | 29,667                     | 0                         | 1,03,517        | 23,675          | 7,010               | 9,274              | 32,949             | 50,175                  | 70,568                  |  |  |
| BOT Asset (The Osmanabad District Central Co-op Bank)      | 1,00,356            | 0                           | 37,820                     | 0                         | 1,38,176        | 38,417          | 10,663              | 12,745             | 51,162             | 61,939                  | 87,014                  |  |  |
| BOT Asset (The Jalna District Central Co-op Bank)          | 65,857              | 0                           | 22,536                     | 0                         | 88,393          | 14,417          | 7,236               | 9,313              | 23,730             | 51,440                  | 64,663                  |  |  |
| Software ( CBS E- Banker )                                 | 1,33,734            | 15,527                      | 0                          | 0                         | 1,49,261        | 52,119          | 6,687               | 8,239              | 60,358             | 81,615                  | 88,903                  |  |  |
| Software ( ERP )                                           | 31,851              | 0                           | 0                          | 0                         | 31,851          | 25,162          | 1,037               | 878                | 26,040             | 6,689                   | 5,811                   |  |  |
| Software V- Pay                                            | 1,30,234            | 0                           | 0                          | 0                         | 50,109          | 0               | 0                   | 0                  | 0                  | 1,30,234                | 50,109                  |  |  |
| <b>Total of Tangible &amp; Intangible Assets &amp; WIP</b> | <b>6,92,661</b>     | <b>15,527</b>               | <b>1,52,810</b>            | <b>80,125</b>             | <b>7,80,873</b> | <b>2,52,604</b> | <b>45,572</b>       | <b>56,448</b>      | <b>3,09,052</b>    | <b>4,40,057</b>         | <b>4,71,821</b>         |  |  |



# VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

## 2.11 CURRENT INVESTMENTS :

(Amt.in '000)

| Particulars                   | 31-03-2023    | 31-03-2022    |
|-------------------------------|---------------|---------------|
| F.D. with Bank of Maharashtra | 5,141         | 5,068         |
| F.D. with Axis Bank           | 0             | 7,348         |
| Investment in SIP fund Shares | 10,000        | 10,000        |
| F.D. with DBS Bank            | 13,536        | 0             |
| <b>Total</b>                  | <b>28,677</b> | <b>22,416</b> |

## 2.12 INVENTORIES :

| Particulars    | 31-03-2023 | 31-03-2022 |
|----------------|------------|------------|
| stock-in-trade | 740        | 456        |
| <b>Total</b>   | <b>740</b> | <b>456</b> |

## 2.13 TRADE RECEIVABLES:

| Particulars                                                                                             | 31-03-2023      | 31-03-2022      |
|---------------------------------------------------------------------------------------------------------|-----------------|-----------------|
| Trade Receivables outstanding for a period exceeding six months from the date they were due for payment |                 |                 |
| Secured-considered good                                                                                 | 0               | 0               |
| Unsecured-considered good                                                                               | 12,412          | 16,055          |
| <b>Other trade receivables</b>                                                                          |                 |                 |
| Unsecured-considered good                                                                               | 2,20,366        | 1,19,988        |
| <b>Total</b>                                                                                            | <b>2,32,778</b> | <b>1,36,043</b> |

## 2.14 CASH AND CASH EQUIVALENTS:

| Particulars                    | 31-03-2023   | 31-03-2022   |
|--------------------------------|--------------|--------------|
| Cash in Hand                   | 28           | 18           |
| With Banks in Current Accounts | 3,899        | 2,863        |
| <b>Total</b>                   | <b>3,927</b> | <b>2,881</b> |





# VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

## 2.15 SHORT TERM LOANS AND ADVANCES:

(Amt.in '000)

| Particulars                                                  | 31-03-2023    | 31-03-2022    |
|--------------------------------------------------------------|---------------|---------------|
| Salary & Tour Advance to employees-unsecured,considered good | 6,880         | 8,705         |
| Advance against Purchases                                    | 9,897         | 4,351         |
| Loan & Advances to Related Parties                           | 78,557        | 40,462        |
| <b>Total</b>                                                 | <b>95,334</b> | <b>53,518</b> |

## 2.16 OTHER CURRENT ASSETS:

| Particulars                                    | 31-03-2023    | 31-03-2022    |
|------------------------------------------------|---------------|---------------|
| Telephone Deposit                              | 2,000         | 2,001         |
| Security Deposit                               | 5,667         | 5,667         |
| Rent Deposit                                   | 1,575         | 1,561         |
| T. D. S.                                       | 16,102        | 11,644        |
| M.S.E.B. Deposit                               | 19            | 19            |
| Deposit with IRCTC                             | 1,000         | 1,000         |
| E. M. D.                                       | 11,128        | 12,973        |
| Income tax paid                                | 0             | 2,588         |
| GST Set off                                    | 798           | 124           |
| <b>sub-total</b>                               | <b>38,289</b> | <b>37,577</b> |
| Preliminary Expenses (to the extent not w/off) | 0             |               |
| Less: written off for the year                 | 0             |               |
| <b>sub-total</b>                               | <b>0</b>      | <b>0</b>      |
| <b>Total</b>                                   | <b>38,289</b> | <b>37,577</b> |



# VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

## 2.17 REVENUE FROM OPERATIONS:

(Amt.in '000)

| Particulars    | 31-03-2023 | 31-03-2022 |
|----------------|------------|------------|
| Sales / Others | 4,76,701   | 3,87,107   |
| Export         | 1,08,139   | 39,127     |
| Total          | 5,84,840   | 4,26,234   |

## 2.18 OTHER INCOME :

| Particulars       | 31-03-2023 | 31-03-2022 |
|-------------------|------------|------------|
| Other Income      | 297        | 206        |
| Interest Received | 440        | 892        |
| Total             | 737        | 1,098      |

## 2.19 CHANGES IN INVENTORIES OF STOCK IN TRADE:

| Particulars                                       | 31-03-2023 | 31-03-2022 |
|---------------------------------------------------|------------|------------|
| Closing Stock at the end of the year              | 740        | 456        |
| Less : Opening Stock at the beginning of the year | 455        | 455        |
| Total                                             | -285       | -1         |

## 2.20 EMPLOYEE BENEFITS EXPENSES :

| Particulars                                   | 31-03-2023 | 31-03-2022 |
|-----------------------------------------------|------------|------------|
| Salaries,allowances and other benefits        | 94,446     | 61,793     |
| Contribution to provident fund and other Fund | 3,256      | 3,456      |
| Total                                         | 97,702     | 65,249     |

## 2.21 FINANCE COSTS:

| Particulars                              | 31-03-2023 | 31-03-2022 |
|------------------------------------------|------------|------------|
| Interest and Bank Commission & Insurance | 26,713     | 26,068     |
| Total                                    | 26,713     | 26,068     |





# VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

## 2.22 OTHER EXPENSES:

(Amt.in '000)

| Particulars                    | 31-03-2023    | 31-03-2022    |
|--------------------------------|---------------|---------------|
| Rent                           | 401           | 798           |
| Conveyance                     | 67            | 46            |
| Electricity Charges            | 3,213         | 2,228         |
| Telephone & Internet charges   | 3,101         | 2,253         |
| Water Charges                  | 27            | 37            |
| Repairs & Maintenance          | 990           | 1,662         |
| Audit Fees                     | 30            | 30            |
| Legal & Professional Charges   | 2,226         | 1,940         |
| Stationery & Printing          | 200           | 97            |
| Office Expenses                | 1,522         | 1,677         |
| Site Development expenses      | 3,244         | 1,898         |
| Donation                       | 52            | 0             |
| Courier Charges                | 367           | 221           |
| Advertisement                  | 18            | 118           |
| Business Promotion Expenses    | 2,209         | 2,220         |
| Tender Fees                    | 103           | 200           |
| Travelling & Tour Expenses     | 7,591         | 5,439         |
| Security Charges               | 131           | 215           |
| Discount                       | 4,314         | 870           |
| Lease Line Charges             | 0             | 32            |
| Miscellaneous Expenses         | 47            | 431           |
| Registration & Membership fees | 41            | 0             |
| Bank Transaction fees          | 1,845         | 4,612         |
| ROC Charges                    | 362           | 0             |
| Director Remuneration          | 0             | 2,400         |
| Transportation Expenses        | 577           | 509           |
| MAC Charges                    | 101           | 0             |
| Other Expenses                 | 1,340         | 2,170         |
| <b>Total</b>                   | <b>34,119</b> | <b>32,103</b> |

## 2.23 EARNING PER SHARE:

| Particulars                              | 31-03-2023 | 31-03-2022 |
|------------------------------------------|------------|------------|
| Net profit after tax                     | 35139      | 22488      |
| Number of Equity Share issued            | 11000      | 11000      |
| Basic earnings per share of Rs.10/- each | 3          | 2          |

## 2.24 AMOUNT IN THE FINANCIAL STATEMENTS

Amounts in the financial statements are rounded off to rupees in thousands.



# VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

## 2.25 DISCLOSURE UNDER MICRO, SMALL AND MEDIUM ENTERPRISES DEVELOPMENT ACT, 2006

The company has not received any information from its vendors regarding their status under Micro, Small and Medium Enterprises Development Act, 2006. Nonetheless, there are no amounts for a period beyond the stipulated period as specified under Micro, Small and Medium Enterprises Act, 2006.

## 2.26 PAYMENT TO AUDITORS

| Particulars     | 31-03-2023 | 31-03-2022 |
|-----------------|------------|------------|
| Statutory Audit | 30         | 30         |
| Total           | 30         | 30         |

## 2.27 CONFIRMATION OF BALANCES

The Company has not generally called for confirmation from trade payables, trade receivables, unsecured loans, loans and advances, deposit from parties/deposit with the parties etc. Management has however, confirmed that these accounts are scrutinised and that these are current and are recoverable and payables.

## 2.28 RELATED PARTY TRANSACTION

Balance Amount Outstanding:

| Name                                           | Name of Relation                                                             | Nature of Trans.                     | (Amt, 000)<br>Amount as on<br>31.3.2023 |
|------------------------------------------------|------------------------------------------------------------------------------|--------------------------------------|-----------------------------------------|
| M/s. Paynext Pvt. Ltd.                         | Both Director's are Director in the company and holding 100% shares          | Business Advance<br>Sundry Creditors | 28,848<br>25,569                        |
| M/s. Sampada Infosolutions Pvt. Ltd.           | Both Director's are Director in the company and holding more than 25% shares | Business Advance<br>Sundry Debtors   | 4,779<br>13,500                         |
| M/s. Virtual Galaxy Fintech Pvt. Ltd.          | Both Director's are Director in the company and holding 100% shares          | Sundry Creditors                     | 2,028                                   |
| M/s. Virtual Galaxy Insurance Broker Pvt. Ltd. | Both Director's are Director in the company and holding more than 25% shares | Business Advance                     | 5,250                                   |
| M/s. SIP Fund Pvt. Ltd.                        | Both Director's are Director in the company and holding more than 25% shares | Business Advance                     | 39,680                                  |
| Mr. Avinash Shende<br>Mr. Sachin Pande         | Key Management Personnel (KMP)<br>Key Management Personnel (KMP)             |                                      |                                         |
| Mrs. Sampada Pande                             | Relative of (KMP)                                                            | Salary                               | 1,440                                   |
| Mrs. Shilpa Shende                             | Relative of (KMP)                                                            | Salary                               | 1,440                                   |

## 2.29 PREVIOUS YEARS FIGURES

Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure under Schedule III of the Companies Act 2013.





### 2.30 Ratio Analysis

| Sl. No. | Particulars                             |                                                                                                    | Current Year A |          |        | Preceding Year B |          |        | Change in %C = (A-B)/B | Explanation towards Change beyond 25%                       |
|---------|-----------------------------------------|----------------------------------------------------------------------------------------------------|----------------|----------|--------|------------------|----------|--------|------------------------|-------------------------------------------------------------|
|         |                                         |                                                                                                    | 3,99,745       | 2,01,047 | 1.99   | 2,52,891         | 1,72,074 | 1.47   |                        |                                                             |
| 1       | Current Ratio                           | Current Assets/ Current Liabilities                                                                |                |          |        |                  |          |        |                        |                                                             |
| 2       | Debt Equity Ratio                       | Long Term Debt/ Equity                                                                             | 1,26,541       | 2,75,106 | 0.46   | 64,810           | 2,39,967 | 0.27   | 70.31%                 | Due to increased in Debt                                    |
| 3       | Debt Service Coverage Ratio             | PAT + Depreciation/Long Term Principle Loan Repayment                                              |                |          | NA     |                  |          | NA     |                        |                                                             |
| 4       | Return on Equity Ratio                  | PAT/ Equity                                                                                        | 35,139         | 2,75,106 | 0.13   | 22,488           | 2,39,967 | 0.09   | 36.30%                 | Due to increased in current year turnover and Profit Margin |
| 5       | Inventory Turnover Ratio                | Turnover/ Inventory                                                                                | 5,84,840       | 740      | 790.32 | 4,26,234         | 456      | 934.72 | -15.45%                |                                                             |
| 6       | Trade Receivables Turnover Ratio        | Turnover/ Receivables                                                                              | 5,84,840       | 2,32,778 | 2.51   | 4,26,234         | 1,36,043 | 3.13   | -19.81%                |                                                             |
| 7       | Trade Payables Turnover Ratio           | Turnover/ Payables                                                                                 | 5,84,840       | 90,901   | 6.43   | 4,26,234         | 29,259   | 14.57  | -55.83%                | Due to increased in current year turnover                   |
| 8       | Net Capital Turnover Ratio              | Turnover/ Capital Employed                                                                         | 5,84,840       | 6,70,519 | 0.87   | 4,26,234         | 5,20,874 | 0.82   | 6.59%                  |                                                             |
| 9       | Net Profit Ratio                        | Net Profit/ Turnover                                                                               | 35,139         | 5,84,840 | 0.060  | 22,488           | 4,26,234 | 0.053  | 13.88%                 |                                                             |
| 10      | Return on Capital Employed Ratio (ROCE) | ROCE=ROI= EBIT/ [Capital Employed = (All Assets – Current Liability) OR (Equity + Long Term Debt)] |                |          |        |                  |          |        |                        |                                                             |
| 11      | Return on Investment (ROI)              | Net Profit / Capital Employed                                                                      | 75,494         | 6,70,519 | 0.11   | 57,226           | 5,20,874 | 0.11   | 2.48%                  |                                                             |



# VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

| BALANCE SHEET ABSTRACT AND THE COMPANY'S GENERAL BUSINESS PROFILE                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                    |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| I                                                                                                                                                                                                                                                                                                                                                                                                        | <b>Registration Details</b><br>Registration/CIN<br>State code<br>Balance sheet date                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 011-110645<br>11<br>31-03-2023                                                                                                                                                                                                     |
| II                                                                                                                                                                                                                                                                                                                                                                                                       | <b>Capital raised during the year</b><br>Public/fresh<br>Right issue<br>Bonus issue<br>Private placement                                                                                                                                                                                                                                                                                                                                                                                                                               | <br>NIL<br>NIL<br>NIL<br>NIL                                                                                                                                                                                                       |
| III                                                                                                                                                                                                                                                                                                                                                                                                      | <b>Position of mobilisation and deployment of funds</b><br>Equities and liabilities<br>Assets<br><br><b>Sources of funds</b><br>Share capital<br>Reserves and surplus<br>Long term liabilities<br>Short term Borrowing<br>Trade payables<br>Other current liabilities<br>short term provisions<br><br><b>Application of funds</b><br>Net fixed assets<br>Long term loans and advances<br>Current investments<br>Inventories<br>Trade receivables<br>Cash and cash equivalents<br>Short term loans and advances<br>Other Current Assets | <br><br><br>8,71,566<br>8,71,566<br><br><br><br><br><br><br><br><br><br>1,10,002<br>1,65,104<br>3,95,413<br>39,355<br>90,901<br>31447<br>39,344<br><br><br>4,71,821<br>0<br>28,677<br>740<br>2,32,778<br>3,927<br>95,334<br>38,289 |
| IV                                                                                                                                                                                                                                                                                                                                                                                                       | <b>Performance of the Company</b><br>Turnover and other income<br>Total expenditure<br>Profit before tax<br>Net earning per share                                                                                                                                                                                                                                                                                                                                                                                                      | <br><br>5,85,577<br>5,36,796<br>48,781<br>3                                                                                                                                                                                        |
| V                                                                                                                                                                                                                                                                                                                                                                                                        | <b>Generic names of principle products/service,of the Company</b><br>Product description :: INFORMATION TECHNOLOGY PRODUCTS AND RELATED SERVICES                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                    |
| For and on behalf of VIRTUAL GALAXY INFOTECH PRIVATE LIMITED                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                    |
| <div><div><br/>Director<br/>A. N. Shende</div><div><br/>Director<br/>S. P. Pande</div><div><br/>Company Secretary<br/>A. V. Padhye</div></div> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                    |
| AS PER OUR REPORT OF EVEN DATE ATTACHED.                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                    |
| <div><div></div><div><div>For and on behalf of<br/>RKAS &amp; CO.<br/>Chartered accountants<br/>FRN No.135727W<br/><br/>A. A. A. Shahu<br/>Partner<br/>M.No.150960</div></div></div>                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                    |
| Nagpur<br>Dated: 20/09/2023                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                    |



# VIRTUAL GALAXY INFOTECH PVT. LTD.

## SIGNIFICANT ACCOUNTING POLICIES:

NOTE I: Accounting policies adopted by the Company

### Basis of preparation of financial statements

These financial statements are prepared in accordance with Indian Generally Accepted Accounting Principles (GAAP) under the historical cost convention on accrual basis except for certain financial instrument which are measured at fair values. GAAP comprises mandatory accounting standards as prescribed under section 133 of the Companies Act 2013 (the Act) read with Rule 7 of the Companies (Accounts) Rules, 2014, the provisions of the Act( to extent notified). Accounting polices have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires change in the accounting policy hitherto in use.

### Use of Estimates

The preparation of financial statements require estimates and assumptions to be made that affect the reported balances of assets as on the date of the financial statements and the reported amount of revenues and expenses during the reporting period. All asset and liabilities have been classified as current or noncurrent as per the company's normal operating cycle and other criteria set out in Schedule III to the Companies Act, 2013. Accounting estimates could change from period to period. Actual results could differ from these estimates.

The following significant accounting policies are adopted in the preparation of these financial statements:

#### 1. Revenue recognition

- (a) Sales are recognized when goods are supplied and are recorded net of discounts. Sales revenues are presented net of value added taxes in the statements of profit and loss.
- (b) Income from other receipts is recognized on its completion and on its acceptance by the customers.
- (c) Dividend income is accounted for in the year in which the right to receive the same is established.
- (d) Interest income is recognized using the time proportion method, based on rates implicit in the transaction.

#### 2. Fixed Assets

Tangible assets shown under gross block are valued at cost of acquisition inclusive of inward freight, duties, taxes and other incidental expenses related to its acquisition. All such direct costs are capitalized when the tangible assets are ready for use. Management has capitalized the cost of software development incurred on V-Pay. In fixed Asset it is shown under software development of V-Pay.



## VIRTUAL GALAXY INFOTECH PVT. LTD.

### 3. Depreciation and amortization

(a) Depreciation on tangible assets has been calculated in accordance with the Schedule II of the Companies Act, 2013 as under:

- (i) All assets on written down value basis.
- (ii) Management has not charged the depreciation to the Software Development called V – Pay, since it is in developing stage.

### 4. Impairment of assets

An impairment loss if any is charged to the statement of profit and loss in the year in which an asset is identified as impaired.

### 5. Investments

Valued at cost, exclusive of dividend/interest reinvested thereon.

### 6. Inventories

Trading and other goods are valued at cost or net realizable value, whichever is lower.

### 7. Taxes on Income

Current tax: Provision for current tax is made based on tax liability computed after considering tax allowances and exemptions.

### 8. Provisions and contingent liabilities

Based on the estimates of the management, provisions are determined of the outflow of economic benefits which are required to settle the obligation as at the reporting date. Where no realizable estimate can be made, disclosure is made as contingent liability. A disclosure for a contingent liability is also made when there is a possible obligation that may, but probably will not, require an outflow of the Company's resources.

### 9. Cash flow statement

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. Cash flows from operating, investing and financing activities of the Company are segregated, accordingly.

